

THE BULLION EXPRESSION OF THE HARD-ASSETS THESIS

The Coupon Gold Doesn't Pay

On 16 September the Federal Reserve raised rates for the first time since 2023, unanimously, to 3.75–4.00%. A week later the ten-year Treasury yielded 5.18% and its inflation-protected twin 2.85%, the highest real return on safe US paper since 2008. Gold, which pays nothing, ended last week near \$4,290, down more than 2% on the week. The old question was when the Fed would cut. The new one is sharper: who is now setting the gold price, and do they care what a bond pays?

A reframe worth holding onto

The internal view, led by 13D Research and Solid Ground, is that rising yields are not gold's enemy this time but its cause. Bond yields are climbing because foreign holders doubt US fiscal management; the same doubt pushes reserve managers towards an asset with no issuer. On this view the "real yield" printed by inflation-linked bonds understates true inflation, so the coupon gold forgoes is smaller than it looks. These are the providers' views, not forecasts, and not verified fact.

Method: prices, yields, fund flows and company results are external figures, each dated and attributed to its publisher (Federal Reserve H.15, World Gold Council, Kitco, company releases). Arguments, targets and interpretations attributed to 13D Research, Greed & Fear, Solid Ground, Goehring & Rozencwajg and HS Dent come from the Heyokha research Wiki and are labelled as views. Where the two disagree, the disagreement is stated and left open.

Picture two families in the same street choosing where to keep their savings. The bank on the corner now pays nearly three percentage points a year above inflation, guaranteed by the government. The alternative is a small safe bolted under the floorboards, which pays nothing and costs money to insure. For most of the street the choice is easy: take the bank. But one family has relatives abroad whose deposits were frozen overnight by a government they had never thought of as hostile. That family buys the safe at almost any price, and keeps buying it every month, because the question it is answering is not "what does this pay?" but "can anyone take it away?". The price of safes in that street is no longer set by the many families comparing interest rates. It is set by the few who have stopped comparing. That, in one street, is the argument about gold in September 2026.

THE STORY IN 60 SECONDS

2.85%

Ten-year TIPS real yield, the return on inflation-protected Treasuries. An auction on 17 Sept cleared at 2.653%, the highest since October 2008. *Federal Reserve H.15, 24 Sept; TIPSWatch, 17 Sept 2026*

~\$4,290

Spot gold late on Friday, down more than 2% on the week and about 7% below a month earlier, yet still up 14.6% on a year ago. *Kitco, USAGOLD, Fortune, 25 Sept 2026*

289t

Central-bank gold purchases in Q2 2026, up 62% year on year, while Western gold ETFs shed 45 tonnes over the same quarter. *World Gold Council, Gold Demand Trends, 30 July 2026*

WHAT ACTUALLY HAPPENED

A hike, a bond sell-off, and a metal that fell less than the textbook says it should

The Fed's September decision was not a close call. The vote was 12–0, the target range rose a quarter-point to 3.75–4.00%, and the projections showed 16 of 19 officials expecting at least one further rise this year, with core PCE inflation now seen at 3.4% for 2026 and no return to the 2% target until 2029 (Charles Schwab summary of the FOMC statement and projections, 16 Sept). Chair Kevin Warsh put it plainly: inflation is too high and has been for too long. By Friday, fed funds futures put the probability of another rise in October at about 69% (Kitco, 25 Sept).

The bond market did not treat the hike as a cure. Long yields rose after it. On the Federal Reserve's own daily series, the ten-year Treasury went from 5.01% on 18 September to 5.18% on 24 September, the thirty-year from 5.34% to 5.47%, and the ten-year inflation-indexed yield from 2.68% to 2.85% (H.15, released 25 Sept). Most of the move was in the real component. The market-implied inflation rate over ten years, the gap between the two, sat around 2.3%. In plain terms, investors were demanding more real return for lending to Washington, not pricing more inflation.

That is the textbook enemy of gold. An ounce of bullion yields nothing, so its carrying cost is whatever a safe alternative would have paid. When that alternative offers close to 3% a year after inflation, the conventional model says gold should fall hard. It fell, but modestly: late on 25 September spot traded near \$4,290 (Kitco), about 23% below the near-\$5,600 peak reached on 29 January (CNBC, 29 Jan) and still 14.6% above its level a year earlier (Fortune, 25 Sept). Silver, at about \$64, held up better, and the gold-silver ratio narrowed to around 66.8 (USAGOLD, 25 Sept).

The internal record adds a pattern the external data do not contradict. 13D Research notes that gold sold off roughly 3% on the September statement, bottomed about an hour later and closed that week at \$4,377.63, above its pre-statement level; the June and August hawkish shocks were also bought back (13D, 20 Sept, a view on price behaviour). The week to 25 September then gave back more than 2% as the ten-year pushed through 5.1%. So the question this edition exists to clear up is not whether the Fed is hawkish. It is whether the buyers who matter at the margin still respond to that hawkishness at all.

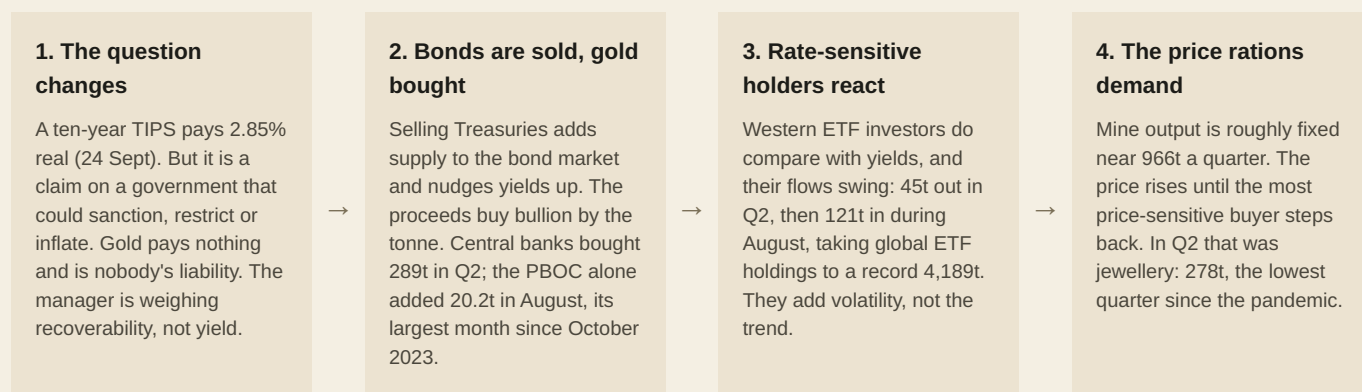
THE ESSENTIAL DISTINCTION

Gold has two kinds of buyer. One compares it with bonds every day and sells when real yields rise. The other buys a strategic weight measured in tonnes and asks only whether the asset can be frozen, defaulted on or inflated away. *The textbook link between real yields and gold describes the first buyer. The past four years have been dominated by the second. The live question is which one sets the price from here.*

THE MECHANISM

How one reserve decision travels into the price

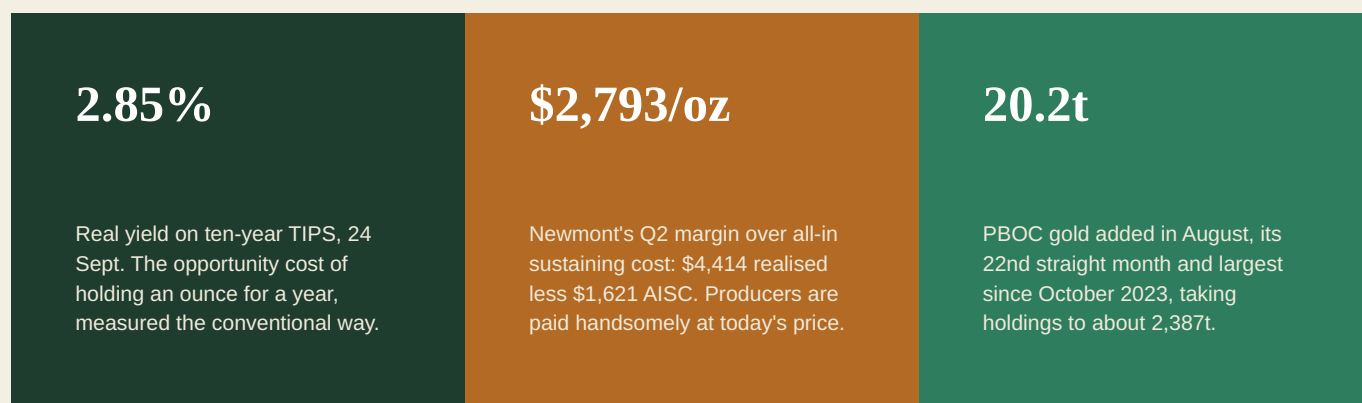
It helps to follow a single decision through the market. Assume a reserve manager at an emerging-market central bank holds most of the country's reserves in US Treasuries. The steps below trace what happens when she decides to change the mix, and why the result can be rising gold and rising yields at the same time, a combination that the older model treats as impossible.



Sources: Federal Reserve H.15 (24 Sept 2026); World Gold Council, Gold Demand Trends Q2 2026 (30 July) and ETF flows for August (September 2026); Kitco and PBOC/SAFE data (8 Sept 2026). The reserve manager is hypothetical and illustrative.

The chain explains why the relationship broke without requiring anything exotic. When the dominant marginal buyer is a Western portfolio that measures gold against bonds, higher real yields mean lower gold. When the dominant marginal buyer is an official institution reallocating away from those very bonds, the two can rise together, because the same decision pushes both. 13D Research dates the break in the real-rate correlation to the third quarter of 2022, after Russia's reserves were frozen, and treats it as a regime change rather than an anomaly (Wiki, gold page, a view).

What the chain does not prove is that the official buyer will keep going at the same pace. Central banks are the one buyer the market cannot see in real time, and the recorded pace has been uneven: the World Gold Council's first-quarter official-sector figure was revised down sharply before Q2 rebounded, and Greed & Fear noted that the first half of 2026 was the smallest first half for central-bank buying since 2022 even as it called the trend "cooling, not ending" (Wiki, 6 Aug, a view). The price has been leaning on a buyer whose orders arrive in quarterly reports.

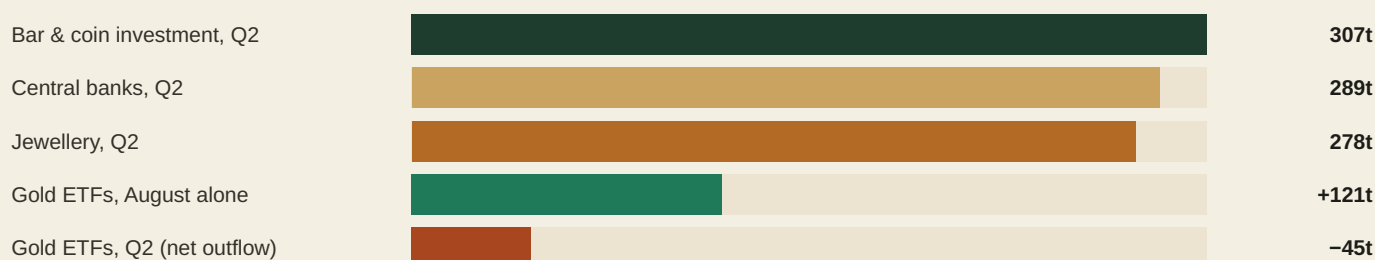


Sources: Federal Reserve H.15 (24 Sept 2026); Newmont Q2 2026 results release (23 July 2026); Kitco citing SAFE (8 Sept 2026).

THE CENTRAL COMPARISON

Who bought gold in the second quarter

The clearest way to see the two-buyer structure is to set the demand categories side by side. Bar and coin buying and official purchases were almost the same size in Q2, jewellery was squeezed to a pandemic-era low, and Western ETFs were net sellers. August then reversed the ETF line sharply.



Source: World Gold Council, Gold Demand Trends Q2 2026 (30 July 2026) and global ETF flows for August 2026 (September 2026). Bars are illustrative and scaled to the largest category; the ETF outflow is shown by magnitude. Mine production in Q2 was 965.6t.

A USEFUL MENTAL MODEL

Think of the gold price as an auction in which one bidder has a standing order and no budget ceiling measured in yield. *Everyone else sets the price around that order. Rising real yields thin out the other bidders, which shows up as volatility, but the clearing level is decided by whether the standing order stays in the room.*

WHAT HAS ACTUALLY SHIFTED

Six changes, and why each cuts both ways

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
The Fed has turned from easing to tightening	12–0 hike to 3.75–4.00% on 16 Sept; 16 of 19 officials see another rise this year; October hike odds near 69% (Schwab; Kitco, 25 Sept).	Raises the cost of holding gold, yet also confirms inflation is not beaten, which is the condition in which gold has historically been held.
Real yields are the highest since 2008	Ten-year TIPS 2.85% on 24 Sept; 17 Sept auction at 2.653%, highest since October 2008, with the weakest bid-to-cover for the term in a year (H.15; TIPSWatch).	A genuine 3% real alternative now exists. But the weak auction hints that buyers of US debt are demanding a premium, which is the fiscal-doubt story in another form.
Official buying rebounded	Central banks 289t in Q2, up 62% y/y; PBOC +20.2t in August, 22nd straight month (WGC; Kitco).	Price-insensitive demand supports a floor. It is also lumpy, reported late and revised, so the market is always guessing.
Western ETF money came back	Q2 outflow of 45t, then August inflow of \$18bn and 121t to a record 4,189t, led by Europe's largest month on record (WGC).	Shows Western appetite is alive. It also means a large, rate-sensitive holder base now sits at record size, and could sell.
Producer margins are exceptionally wide	Newmont AISC \$1,621 against \$4,414 realised; Agnico Eagle \$1,459 against \$4,483; Wheaton \$3,875 cash margin per GEO (Q2 releases).	Miners generate record cash at current prices. Margins that wide invite cost inflation and make earnings highly sensitive to any fall in the metal.
Jewellery demand has been priced out	278t in Q2, the lowest quarterly volume since the pandemic (WGC, 30 July).	Evidence the price is rationing consumers, which bears read as exhaustion. Bulls read it as proof the marginal buyer has changed.

Two coherent readings of the same week

The bull case

- **The marginal buyer is not rate-sensitive.** Central banks bought 289t in Q2 and the PBOC is on its 22nd month; these orders are measured in reserve shares, not yield spreads (WGC; Kitco).
- **Gold has absorbed three hawkish shocks.** 13D records that the June, August and September sell-offs on Fed hawkishness were each bought back, with the September low reversed within an hour (13D, 20 Sept, a view).
- **The real-yield gauge may be mis-specified.** 13D argues TIPS understate inflation, citing a GDP deflator of 4.4% in Q2 against a breakeven near 2.4%; if so, true real rates are far lower than 2.85% (13D, 10 Sept, a view).
- **Western investors are re-engaging, not leaving.** Global ETF holdings reached a record 4,189t in August after \$18bn of inflows (WGC).
- **Producers print cash at this price.** Newmont returned \$1.9bn in Q2 with record free cash flow of \$2.2bn; Agnico Eagle posted record free cash flow of \$1.34bn (company releases, July 2026).
- **The fiscal backdrop is the driver.** Solid Ground argues the monetary re-ordering requires faster money growth and negative real returns via financial repression, "likely to be positive for the price of gold" (Solid Ground, 8 Sept, a view).

The bear case

- **A 3% real alternative is not trivial.** TIPS at 2.85% offer the best inflation-protected return since 2008; every prior gold bear market was driven by rising real rates (H.15; Goehring & Rozenchwajg, 28 Aug, a view).
- **The Fed is not finished.** Sixteen of nineteen officials see another hike; futures price about 69% for October. Gold fell more than 2% last week as the ten-year broke 5.1% (Schwab; Kitco; USAGOLD).
- **Consumer demand is breaking.** Jewellery fell to 278t in Q2, the weakest since the pandemic; a price that rations its oldest buyer is fragile if investment demand pauses (WGC).
- **Record ETF holdings are dry tinder.** The 4,189t now held by rate-sensitive funds is the largest pool that could be sold if real yields keep rising (WGC).
- **Official buying is uneven.** The first half of 2026 was the weakest for central-bank purchases since 2022 after a large downward revision to Q1 (Greed & Fear, 6 Aug, a view; WGC).
- **The dollar is firming.** The dollar index headed for a second weekly gain above 101 on 25 Sept, cutting against the debasement narrative in the short run (FXStreet, 25 Sept).

A note on sourcing. The Wiki's own "bear case" section for gold is thin: it lists generic risks such as a soft landing, a structurally stronger dollar and competition from crypto, without dated evidence. The bear column above was therefore built mainly from external data and from the two dissenting providers the Wiki does carry, Goehring & Rozenchwajg and HS Dent, whose view that gold could fall to \$1,100–1,680 by 2028–29 sits at the far end of the range and is noted here rather than relied on.

Where internal and external views diverge. Goehring & Rozenchwajg argued on 28 August that Western liquidation of gold ETFs "has only begun", with only 145 tonnes sold since February against 950–1,100 tonnes in prior post-peak cycles, and that the correction could last two more years (Wiki, a view). The World Gold Council's August data, published weeks later, show the opposite in the same month: \$18bn of inflows, 121 tonnes added and record holdings of 4,189 tonnes. A second, deeper disagreement runs through the real-rate question itself: 13D says the TIPS yield is not a reliable measure of real rates, while the TIPS market is, by definition, what an investor can actually lock in today. Both conflicts are left unresolved here. One month of flows does not settle a cycle, and a disputed measure still carries a real price.

WHAT TO WATCH FROM HERE

A six-signal dashboard

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
August PCE inflation (Wed 30 Sept)	The Fed's preferred inflation gauge. A hot print strengthens the case for an October hike.	Tests whether rising real yields have further to run, which is the bear case's engine.
September payrolls (Fri 2 Oct)	A weak report with rising yields would echo the pattern 13D flagged in August.	Yields rising on bad news would support the fiscal-doubt reading; falling yields would ease pressure on gold.

October FOMC decision	Futures priced about a 69% chance of another hike as of 25 Sept.	A fourth hawkish shock that gold again buys back would strengthen the two-buyer thesis; a clean break lower would weaken it.
Ten-year TIPS yield versus 3%	Currently 2.85%. A move through 3% would be new territory for this cycle.	The most direct measure of gold's opportunity cost for Western holders.
PBOC September reserve data (early October)	Whether the buying streak reaches a 23rd month, and at what size.	The most visible official bid. A pause would remove the standing order the thesis leans on.
September ETF flows and Q3 demand data (World Gold Council, October)	Whether August's record inflows persisted as yields rose.	Directly adjudicates the Goehring & Rozencwajg versus WGC disagreement.

THREE POSTURES, NOT ONE ANSWER

Coherent ways to hold the theme, each with its cost

1. Bullion as a reserve asset

Physical metal or a physically backed fund, sized as a strategic weight rather than a trade, on the logic of the central-bank buyer.

Cost: forgoing a 2.85% real return that TIPS currently offer, compounding every year it is held, plus storage or fund fees; and drawdowns such as the 7% fall over the past month.

2. Producers and streamers for cash yield

Companies earning \$2,800–3,000 an ounce above sustaining cost, paying some of it out, for those who want gold exposure that generates income. **Cost:** operating and jurisdictional risk, cost inflation, and earnings leverage that cuts both ways: a fall in gold hits miners harder than bullion.

3. A barbell of TIPS and smaller gold

Taking the 2.85% real coupon while it exists and holding less gold as insurance against the fiscal scenario. **Cost:** if 13D is right that TIPS understate inflation, the real return is illusory; and the whole position still depends on the creditworthiness of the issuer that gold is meant to hedge.

The companies and funds below are illustrative of how the theme is expressed in listed markets. They are NOT recommendations, and nothing here is advice to buy, sell or hold any security.

GLD

ETFs 4,189t · Aug 2026

SPDR Gold Shares (physically backed gold ETF)

The largest vehicle for the rate-sensitive Western buyer described in this edition. Physically backed funds turned from 45t of outflows in Q2 to 121t of inflows globally in August, with North America adding \$7.7bn, its third-largest month on record. Because these holders do compare gold with bonds, their flows are the channel through which real yields reach the price.

WATCH NEXT

September flow data: whether inflows survive a ten-year yield above 5.1%.

NEM

AISC \$1,621 · 23 Jul 2026

Newmont Corporation

The largest producer, with Q2 attributable output of about 1.29 million ounces, record Q2 free cash flow of \$2.2bn and \$1.9bn returned to shareholders. Full-year guidance of 5.3 million ounces at \$1,680 AISC was maintained. The margin over cost is the clearest external measure of how much of today's price producers are keeping.

WATCH NEXT

Q3 results: whether AISC stays near guidance as input and royalty costs rise.

AEM

Agnico Eagle Mines

AISC \$1,459 · 29 Jul 2026

A low-cost producer concentrated in Canada, Finland, Australia and Mexico. Q2 production was 855,816 ounces at a realised \$4,483, generating record free cash flow of \$1.335bn and a net cash position of \$3.27bn. Output dipped year on year on Canadian Malartic throughput issues and a mill shutdown after an April safety incident, a reminder of operating risk.

WATCH NEXT

Whether Malartic throughput recovers in the third quarter.

WPM

Wheaton Precious Metals

Margin \$3,875 · 6 Aug 2026

A streaming company that pre-pays miners for future metal at a fixed low cost, averaging \$568 per gold-equivalent ounce in Q2. Revenue rose 84.7% year on year to \$929m. Streamers take price exposure with less direct cost inflation, but depend on partners' operations and are not immune to a fall in the metal.

WATCH NEXT

Partner mine ramp-ups and the silver share of revenue as the ratio narrows.

2899 HK

Zijin Mining Group

H1 profit +68% · 9 Jul 2026

China's largest listed miner, with mine-produced gold up 15% to 47 tonnes in the first half alongside copper. It is an Asian-listed expression of the theme whose home market is also home to the most persistent official buyer, the PBOC. 13D reiterates it as a buy primarily on copper grounds (Wiki, 24 Sept, a view).

WATCH NEXT

Confirmation of first-half figures in the full interim report and second-half gold output.

TIP

iShares TIPS Bond ETF (the competing asset)

Real 2.85% · 24 Sep 2026

Included as the other side of the comparison rather than a gold expression. Inflation-protected Treasuries are the coupon gold does not pay. The 17 September ten-year reopening cleared at 2.653%, the highest since October 2008, but drew the weakest bid-to-cover for the term in a year, which is itself a sign of hesitancy about US paper.

WATCH NEXT

Whether the ten-year real yield breaks 3%, and demand at the next TIPS auction.

The bottom line

What was repriced in September was not gold so much as the alternative to it. A 2.85% real yield on US government paper is the best inflation-protected return in eighteen years, and the Fed has signalled more tightening. By the conventional model that should have been a heavy blow to a metal that yields nothing. Gold fell, but by single digits over a month, and it remains well above its level of a year ago.

The evidence is mixed. Official buying is strong but lumpy, Western ETF money returned in August but could leave as fast, and consumer demand has been priced out. The reasonable inference is that gold is currently priced by a buyer who is not weighing it against bonds, and that this buyer, not the Fed, is the variable to track. The next test is concrete: whether the PBOC's streak and September's ETF flows hold while the ten-year real yield approaches 3%.

Editorial note. This Market Field Guide is educational commentary prepared for internal use at Heyokha Brothers. It is not investment advice and does not recommend any security, strategy or allocation. Named companies and funds are illustrative of how a theme is expressed in listed markets. External figures are attributed to their publishers and dated; they may have changed since. Internal Wiki views are the opinions of named third-party research providers, labelled as views and not presented as forecasts or verified fact. Where internal and external evidence conflict, the conflict is stated and deliberately not resolved.

Sources and update notes

Internal. Heyokha Wiki theme page "Gold" (created 23 June 2026; last reviewed 25 September 2026), sections Thesis; The bear case & what breaks it (and its sub-sections on real rates, the dollar and crypto); Demand & flows; The bearish dissent: Dent and Faber (July 2026); August 2026: G&R; September 10: diesel is the inflation signal; September 2026: the re-ordering; and September 20–24, 2026: the hawkish-Fed reversal. Provider issues relied on: 13D Research

WILTW 24 Sept 2026 (ten-year above 5.1%, Zijin reiteration), WATMTU 20 Sept 2026 (post-FOMC reversal, weekly close \$4,377.63, sentiment index at 20), WILTW 10 Sept 2026 (TIPS as an unreliable real-rate proxy, GDP deflator 4.4%), WILTW 13 Aug 2026 and WATMTU 5 July 2026; Greed & Fear (Christopher Wood) 24 Sept 2026 (PBOC 22nd month, 9.1% of reserves) and 6 Aug 2026 (first-half official buying); Solid Ground (Russell Napier) 8 Sept 2026 and 18 Aug 2026; Goehring & Rozencwajg natural resource commentary 28 Aug 2026; HS Dent forecast 1 July 2026; Marc Faber monthly report 1 July 2026. Scoring also drew on the Wiki source list for 7–24 September 2026.

Limitation on the internal view. The Gold page is heavily concentrated in a single provider. Of roughly 140 source summaries cited in its frontmatter, all but about two dozen are 13D Research issues; the remainder are chiefly Greed & Fear and Solid Ground, with one Goehring & Rozencwajg letter and one Silver Institute study. 13D also runs a 36.1% allocation to gold, silver and miners in its model portfolio, so its analysis is not disinterested. The bearish voices (Goehring & Rozencwajg, HS Dent) appear in a handful of dated paragraphs, and the page's formal bear section is generic. Readers should treat the internal case as one well-argued school of thought rather than a balanced consensus.

External. (1) Federal Reserve H.15 Selected Interest Rates, release of 25 Sept 2026: ten-year Treasury 5.01% (18 Sept) to 5.18% (24 Sept); thirty-year 5.34% to 5.47%; ten-year TIPS 2.68% to 2.85%; two-year 4.87% and effective fed funds 3.88% on 24 Sept. (2) Charles Schwab, FOMC summary, 16 Sept 2026: 25bp hike to 3.75–4.00%, 12–0 vote, 16 of 19 see a further 2026 hike, core PCE 3.4% for 2026. (3) TIPSWatch, 17 Sept 2026: ten-year TIPS reopening at 2.653%, highest since October 2008; breakeven 2.30%; bid-to-cover 2.24. (4) Kitco PM report, 25 Sept 2026: spot gold \$4,289.70, silver \$64.17, ten-year near 5.2% intraday, 68.6% odds of an October hike; August PCE due Wed, payrolls Fri. (5) USAGOLD, 25 Sept 2026: gold \$4,280.19, weekly loss above 2%, gold-silver ratio about 66.8. (6) Fortune, 25 Sept 2026: gold \$4,298 at 9am ET, –7.17% on a month, +14.58% on a year. (7) CNBC, 29 Jan 2026: gold near \$5,600 at its record. (8) World Gold Council, Gold Demand Trends Q2 2026, 30 July 2026: demand 1,269t; central banks 289t (+62% y/y); ETFs –45t; bar and coin 307t; jewellery 278t; mine production 965.6t; average price \$4,506.29. (9) World Gold Council, August 2026 ETF flows: \$18bn and 121t inflows; record 4,189t; AUM \$615bn; North America \$7.7bn, Europe \$7.9bn. (10) Kitco citing SAFE, 8 Sept 2026: PBOC +20.2t in August to about 2,387t, 22nd month, largest since October 2023. (11) Newmont Q2 2026 release, 23 July 2026: 1,293koz; realised \$4,414; AISC \$1,621; FCF \$2.2bn; \$1.9bn returned. (12) Agnico Eagle Q2 2026 release, 29 July 2026: 855,816oz; realised \$4,483; AISC \$1,459; FCF \$1,335m; net cash \$3,267m. (13) Wheaton Precious Metals Q2 2026 release, 6 Aug 2026: revenue \$929m (+84.7%); cash cost \$568 and margin \$3,875 per GEO. (14) Zijin Mining preliminary H1 estimate, 9 July 2026: net profit about RMB39.1bn (+68%); gold 47t (+15%). (15) FXStreet, 25 Sept 2026: dollar index heading for a second weekly gain above 101.

Editorial choices made in this automated run. Topic selection scored every entity in Wiki sources published 7–24 September 2026. No source was published in the three days before the edition date, so the three-point tier was empty; Gold scored highest (15), ahead of AI Capex (14), Oil & Gas (11) and Critical Minerals (9), aided by its appearance in the 20 September 13D headline. The archive folder was read successfully: Gold last ran on 26 August 2026, 33 days ago and outside the 30-day cooldown; AI Capex (8 Sept), Oil & Gas (21 Sept), Critical Minerals (21 Sept), Copper (24 Sept) and Silver (25 Sept) were on cooldown. Because Silver ran three days ago and Gold Miners ran in August, this edition centres on bullion and the real-yield question rather than on miners. Some older archive files use a different filename pattern (dated with hyphens), which were parsed manually. Several news sites (CNBC, CNN) refused automated fetching; figures were taken from Kitco, USAGOLD, Fortune, the Federal Reserve, the World Gold Council and company releases instead. Stock prices for the illustrative names were not verified and are therefore not quoted; card figures are company-reported results.